

The (ir)relevance of an arbitrator's nationality

Search term

nationality (150)
sole arbitrator (64)

Document information

Authors: [Niuscha Bassiri](#)
TarunimaVijra

Publication: [Liber Amicorum CEPANI \(1969-2019\): 50 Years of Solutions](#)

Publication date: 14 Nov 2019

Bibliographic Reference: Niuscha Bassiri and Tarunima Vijra, 'The (ir)relevance of an arbitrator's nationality', in Dirk De Meulemeester, Maxime Berlingin, et al. (eds), *Liber Amicorum CEPANI (1969-2019): 50 Years of Solutions*, pp. 39 - 54

Copyright: © 2025 Kluwer Law International BV, and/or its subsidiaries, licensors, and contributors. All rights reserved, including rights for text and data mining, AI training, and similar technologies.

Niuscha Bassiri ; Tarunima Vijra

(1)

(2)

I Introduction

'Nationality management' ⁽¹⁾ is a common feature in the appointment of adjudicators for international courts and tribunals. Most international courts and tribunals address the nationality of their judges in one way or another, with the aim of either circumventing any existing or potential biases that may be seen to result from national origin or allegiance or allowing participation of judges in disputes involving their own countries. ⁽²⁾ The reason behind such nationality management in the realm of international disputes is the political undertone that is generally associated with such disputes and the common perception, rightly or wrongly, that these international courts and tribunals are more political than legal.

A similar process of nationality management – mainly manifested in the form of nationality restrictions – is witnessed in the field of international arbitration for commercial disputes, particularly in the appointment of both the presiding and sole arbitrator of the arbitral tribunal. Many arbitration rules prescribe that, in cases of appointment by the institution, the presiding and sole arbitrator must belong to a different nationality than that of the parties to the dispute, unless agreed otherwise by the parties. Having a chair of a different nationality from the disputing parties is regarded as a step towards constituting a neutral tribunal, or at the very least, towards creating the perception of a neutral tribunal.

In this contribution, the authors focus on the processes of such nationality management in international commercial arbitration under the aegis of arbitral institutions. The authors consider that nationality management might play a role in investment and sports arbitration. However, those considerations have limited relevance in international

39

40

commercial arbitration. Therefore, their analysis and recommendations focus on nationality management only in international commercial arbitration.

In today's globalised world, where national boundaries are increasingly getting blurred with individuals being de-localised by possessing dual or multiple nationalities, and changing their place of residence several times during their career, there is an increasing irrelevance to the notion of 'national neutrality' *i.e.*, the idea that the nationality of the arbitrator is relevant to or reflective of her ⁽³⁾ neutrality. There are many 'international' arbitration practitioners whose allegiances are unlikely to match their passports or place of residence. This renders the premise that a national is deemed to be naturally and irresistibly sympathetic, even biased, towards her own national's case, flawed.

This contribution seeks to explore the nature, types and relevance of nationality management techniques currently employed in international commercial arbitration with a view to encouraging a reconsideration of such techniques by arbitral institutions. The contribution by arbitral institutions to the field of international arbitration is unmatched – there is no doubt that arbitral institutions have changed the landscape of international arbitration by streamlining and bringing more efficiency to the conduct of arbitral proceedings. Given

IV Nationality – Much Ado About Nothing?

A Experience of Arbitral Institutions

With the objective of understanding the significance that parties attach to the 'nationality' of the presiding and sole arbitrator and the considerations that an institution keeps in mind while appointing the presiding and sole arbitrator, the authors, as mentioned above, approached 12 leading arbitral institutions based in Europe and Asia requesting statistical information regarding the number of: (i) the arbitral appointment challenges on the basis of the nationality of the presiding and sole arbitrator; and (ii) cases where the presiding and sole arbitrator belongs to the same nationality as either one of the parties. The authors received responses from 10 out of the 12 institutions contacted. ^(**47)

With respect to the second question, almost none of the institutions contacted by the authors have readily available or easily extractable information from their records regarding the number of cases where the presiding and sole arbitrator belonged to the same nationality as either one of the parties. Some of the institutions, however, acknowledged the usefulness of such information and indicated that they were in the process of revamping their internal systems to facilitate the recording of such information. One institution disclosed that in the last 1.5 years, out of the cases where the presiding and sole arbitrator belonged to the same nationality as one of the parties, in 37.5 % of those cases the presiding or sole arbitrator was appointed by the institution and in 62.5 %

47

48

cases appointed by the parties or the co-arbitrators. Thus, the reality in those cases shows that the parties are a lot more flexible and do not consider nationality as important as the institution and/ or its rules in question.

With respect to the first question, the information received by the authors reveals a trend of minimal or almost non-existent challenges on the basis of nationality of the presiding and sole arbitrator in the immediately preceding three to six year period. ^(**48) Notably, several of the institutions which do not prescribe nationality restrictions on the appointment of the presiding and sole arbitrator were amongst those that did not receive any challenges to arbitrator appointments on grounds of nationality concerns. At least two of the institutions contacted informed the authors that in their experience, although nationality was one of the factors considered by parties, the more relevant factors in appointing the presiding arbitrators were applicable law and place of arbitration. It can be assumed that this holds true for all institutional appointments of the presiding and sole arbitrator.

All the approached institutions disclosed that the nationality-based challenges received by them during this period had been rejected.

B Case-law

There is limited publicly available information regarding the nature of arbitral appointment challenges and the decisions relating thereto. The LCIA is perhaps the only institution which regularly publishes its reasoned decisions on arbitral challenges. Recently, in August 2019, the SCC issued a practice note summarizing some of the decisions of the SCC Board on the arbitral challenges filed between January 2016 and December 2018. ^(**49)

An overview of the LCIA decisions that are available indicates that in considering nationality-based challenges, the trend has been to move beyond the consideration of the formal criterion of technical nationality towards a more substantive assessment of the arbitrator's connections with a particular State. The reason for this is likely that the basis for the challenge is 'justifiable doubts' as to that arbitrator's impartiality or independence. For instance, in LCIA Reference No. 8086 referred above, the LCIA Division recognised that technical nationality or citizenship is not, in all cases, reflective of a person's neutrality towards the State of which she is a national. In some other cases, where the challenge was filed on the grounds that the arbitrator had a door tenancy arrangement in a country of which one of the parties is a national, the Divisions analysed whether the arrangement evidenced that the arbitrator was based in that country. ^(**50)

48

49

In another case, LCIA Reference No. 5660, the Division noted that '[t]he concept of neutrality involves an arbitrator taking a certain distance in relation to his legal, political and religious culture'. ^(**51)

The examination undertaken by the Divisions into the arbitrator's connections with a particular State, despite the arbitrator not being a national of that State, is indicative that the link sought to be drawn between nationality and neutrality is not necessarily a sound one. ^(**52)

In the two nationality-based challenges received by the SCC between 2016 and 2018, the SCC Board appears to have relied on the technical nationality of the arbitrator to dismiss the challenges. In SCC Arbitration 2018/102, the respondent challenged the sole arbitrator on the ground that, although belonging to a different nationality, he lived and worked in the country of the claimant's nationality. The challenge was rejected by the SCC Board. In SCC Arbitration 2016/180, the respondent challenged a UK national sole arbitrator on the ground that the claimant was owned by a UK company. The challenge was rejected by the SCC Board.